Business Recommendations

Key Findings

1. Beauty & Groceries Lead in Revenue
   Beauty generated approximately ₦1.59 billion, followed by Groceries at ₦1.42 billion. These categories are important revenue drivers and potential areas for further investment.

2. Store & Regional Performance
   ShopSmart Lagos and ShopSmart Ibadan recorded the highest reported store revenue of ₦1.11 billion, While ShopSmart Kano recorded the lowest revenue of ₦265.08 million. The South region generated approximately ₦2.18 billion, representing 32% of total revenue.

3. Monthly sales trend

   December recorded the highest monthly sales, while February recorded the lowest.

Business Recommendation

1. Invest Strategically in High-Performing Categories
   Management should investigate opportunities to expand Beauty and Groceries through suitable product assortment, targeted promotions, and inventory allocation.
   Investment decisions should also consider profit margins, operating costs, and product return rates rather than revenue alone.

2. Improve Underperforming Store Performance
   Management should investigate the factors contributing to ShopSmart Kano's lower revenue. This could include reviewing local demand, product availability, pricing, customer activity, and marketing effectiveness.
   Successful strategies from stronger-performing stores may provide useful insights, but they should be adapted to local market conditions.

3. Strengthen Inventory and Seasonal Sales Planning
   Management should monitor stock levels and reorder points, particularly at stores with low inventory. Sales trends should also be used to prepare for periods of higher demand, including December.

This could help reduce stockouts, improve product availability, and support more effective purchasing decisions.

Risk Identified

Inventory Risk: Insufficient stock at some locations could lead to lost sales, dissatisfied customers, and missed revenue opportunities.

ShopSmart Enugu's reported inventory figure of 13 should be investigated to confirm its unit of measurement and determine whether replenishment is required.

Opportunity Identified

Growth opportunity in high-performing categories: Beauty and Groceries generated approximately ₦3.01 billion in combined revenue.

Management could explore expanding these categories through demand-based inventory planning, targeted promotions, and improved product availability while monitoring profitability and customer returns.

December's high sales also present an opportunity to plan seasonal promotions and inventory allocation ahead of periods of increased demand.